CHAPTER 2 – MARKETING

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The Role of Marketing

Why is marketing important to McDonald's?

2.1 The Strategic Role of Marketing Goods and Services

Marketing puts the vision of a business into action. At McDonald's, marketing plays a vital role in ensuring sustained sales growth. The company does this by developing a range of strategies in regards to product design, pricing and promotional campaigns.

Marketing plans are then used to employ strategic decisions that aim to achieve the overall business objectives. For example, one of the strategic goals identified by McDonald's Corporation in the 2015 Annual Report is to *"provide customers more choice and flexibility, including the opportunity to bundle their own meals at compelling price points."*[1] The role of marketing at McDonald's is to create ways to achieve this goal, which can be seen in Australia by the *Create Your Taste*[2] range and the *Loose Change*[3] menu.

2.2 Production, Selling, Marketing Approaches

McDonald's has shifted from a sales approach where the focus of marketing was to simply advertise products as a way of maximising sales. This approach to marketing did not take into consideration the needs of the consumer and applied a blanket approach to selling. As consumerism evolved, McDonald's adopted a marketing approach which puts greater emphasis on meeting the needs of its customers. In a webcast published in May 2015, McDonald's Corporation CEO, Steve Easterbrook, stated that the company plans on being *"customer centric"* and to bring *"the customer voice into the heart of the business."*[4]

2.3 Types of Market

McDonald's is a retail business selling its goods for individual consumption. This makes the company part of the consumer market.

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The Influences on Marketing

What factors impact on the marketing decisions McDonald's makes?

2.4 Factors Influencing Customer Choice

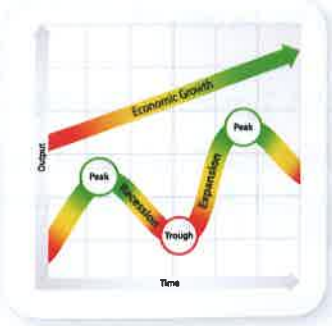
Marketing is focused on understanding changing consumer behaviour. Understanding why consumers buy particular products has been a vital factor in the revival of McDonald's sales.

There are four major factors that influence consumer choice.

- **Psychological**
  This relates to the processes that affect an individual's preferences and tastes. These can include motivation, perception, personality, learning, beliefs, and attitudes. In Australia there is a growing "foodie" culture and a move towards healthier eating and diets. This is putting increased pressure on fast-food providers like McDonald's to use fresh ingredients and products that are generally more gourmet. In 2009 the McDonald's Corporation introduced an Angus Beef range that was marketed as 'It's a little bit fancy.' [5]

- **Sociocultural**
  Socioeconomic status, social class, culture, family and peer groups all influence an individual's consumer behaviour. Being aware of these factors allows McDonald's to differentiate its products in order to deliver goods and services that their customers will choose to buy. In the 2015 Annual Report, McDonald's identified a range of ways to appeal to people from a variety of social and cultural backgrounds. These included the need to deliver customers choice such as value, quality, taste, choice, nutrition and convenience.[6] In the United States, value is important to customers and is a key factor in their decision making process. McDonald's USA is thus focused on providing a *"consistent national value offering"* [7] and is delivered through the *Extra Value Meals* [8] menu.

- **Economic**
  General economic conditions can influence the supply and demand of a good or service. During periods of economic expansion, spending on non-essential items grows. On average, Australian households spend approximately 35% of weekly earnings on food and non-alcoholic beverages.[9] However, during periods of low consumer confidence or economic downturn, patronage to cafes and restaurants is volatile.[10] In its 2015 Annual Report, McDonald's states that results "are substantially affected by economic conditions, which can vary significantly by market and can impact consumer disposable income levels and spending habits." [11]



Economic cycles

- **Government**
  Government regulations can influence business practices and consequently affect consumer decisions. For example, section 1.2.8-6 of the *Australia New Zealand Food Standards Code* [12] states that nutritional information, such as average energy content, must be displayed.[13] This has led to the publishing of calories on all food items served at McDonald's. McDonald's USA even has a *Favorites Under 400* [14] list that lists 35 items that have less than 400 calories per serve. The interactive menu allows customers to add items to *My Meal Builder* [15] which totals key nutritional information such as calories, sodium, fat and sugar. This information can influence the choices consumers make about the consumption of particular menu items.

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2.5 Consumer Laws

Labelling

There are several laws that affect the marketing of McDonald's. McDonald's Australia is bound by the labelling requirements stipulated in the *Australia New Zealand Food Standards Code.*[16] McDonald's Australia complies with this code and information regarding product ingredients, nutritional and allergen information is made available on the company website.[17]

McDonald's is also bound by state and territory laws such as the *Food Act 2003 (NSW)*[18] and the *Food Regulation Act 2015 (NSW).*[19] The NSW Government Food Authority[20] aims to improve food labelling to encourage Australians to make healthier food choices. In NSW, it is mandatory for businesses to label the kilojoule intake[21] for each food item. In 2015, Patrick Hatch reported for the Sydney Morning Herald that McDonald's had breached NSW food labelling laws. The article states that the new animated menu boards made customers wait up to a minute to view the health information, which was then only screened for about seven seconds.[22] McDonald's worked with the NSW Food Authority to amend the digital menu to allow consumers to better compare the kilojoule intake of products.

Advertising

The Spam Act 2003 (Cth)[23] prohibits the unsolicited sending of electronic messages that advertise or promote a business or goods. In December 2012, the Australian Communications and Media Authority (ACMA) found McDonald's Australia Limited to be in breach of the Spam Act[24] and issued the company with a formal warning. McDonald's Happy Meal website had a "send to friends" feature which sent emails promoting games and activities without the consent of the recipient. ACMA also found that the messages did not allow for an unsubscribe facility, which is mandated by the Spam Act. McDonald's responded by removing the "send to friends" facility from the website.

The Australian Competition and Consumer Commission[25] (ACCC) is Australia's national body that regulates business trading. The ACCC is also responsible for administering the *Australian Consumer Law 2010 (Cth)*[26] from unethical or misleading business practices. In 2015, the ACCC found that McDonald's was in breach of labelling laws when digital displays did not show the kilojoule content for each item.[27] McDonald's avoided a fine by changing displays to show the required nutritional information.

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2.6 Ethical Considerations

Advertising to children

In 1997, judgement from the landmark "McLibel" case[28] found that McDonald's UK was guilty of exploiting children with its advertising. This has put the spotlight on McDonald's advertising since and in 2015, McDonald's was accused of producing a television advertisement that focused on the "premium" (the toy) rather than the product (food).[29] The American Children's Advertising Review Unit (CARU) issued a warning to McDonald's to *"take care to assure future advertising directed to children that commercials focus on the advertised food product and not on the premium."*[30] As a consequence of this investigation McDonald's removed the advertisement and issued a statement that said that while the company believed that the ad largely focuses on the product, out of respect to the self-regulatory process, McDonald's would consider the CARU's findings in producing future advertisements.[31]



Happy Meal box

In 2009 McDonald's Australia and other fast-food restaurants launched a self-regulatory body – the Quick Service Restaurant Initiative for Responsible Advertising and Marketing Communications to Children.[32] Where food and beverages are promoted to children under fourteen years of age, McDonald's Australia agreed to only use foods that were considered to be healthier options.

Fast-food contributing towards obesity

The World Health Organisation (WHO) asserts that there is a global obesity epidemic.[33] The availability, popularity and increased consumption of processed foods has sparked some countries, such as the UK, to ban the advertisement of foods high in fat, salt and sugar to children.[34] Advertising limits extend to the programmes and times that commercials could air. This has prompted a change in the menu and ingredients used by McDonald's UK.

McDonald's Australia voluntarily works with accredited dieticians to improve the quality of its food. For example, McDonald's Australia has reduced the sugar content in burger buns to 5%, reduced the sodium content of McDonald's signature cheese by 20% [35] and has introduced healthier options to the menu. The traditional Happy Meal[36] now includes options such as seared chicken wraps, sliced apples, flavoured milk and water. Meal component choices extend to the regular menu where fries can be replaced with garden salad.

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The Processes of Marketing

How does McDonald's actually do it?

2.7 Situational Analysis – SWOT, Product Life Cycle

A situational analysis is an internal tool used by a business to assess its strengths, weaknesses, opportunities and threats. Some elements that may be present in a McDonald's SWOT analysis include:

Internal

Strengths

- Diversified income stream
- Goodwill
- High quality standards and product specifications
- Well-known global brand
- Largely uniform menu with some geographic variations
- Extensive access to capital
- Market share
- International lead markets such as Australia, Canada and the UK

Weaknesses

- Lack of central control over daily operations of franchised restaurants
- Protecting the intellectual property of its business and ensuring the company does not infringe on the intellectual property of others'
- Poor operating performance

External

Opportunities

- Innovation and differentiation of the McDonald's experience
- Reinvest in restaurants
- Drive improvements to achieve optimal capacity
- Anticipate and respond to changing consumer preferences
- Utilise digital media advertising
- Improve social and environmental responsibility
- Expansion into developing countries[37]

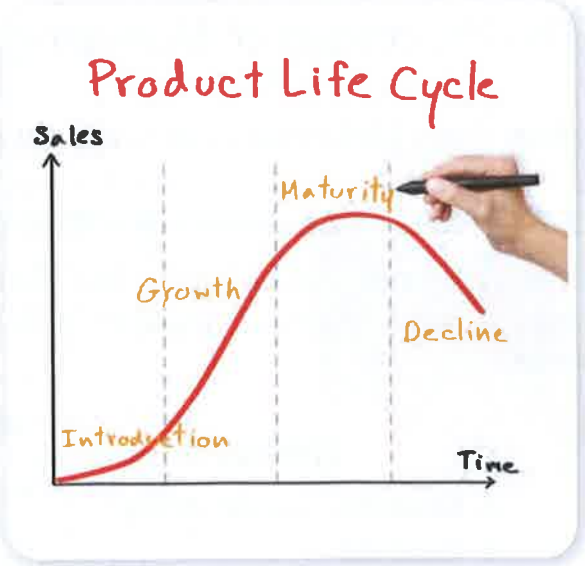
Threats

- Negative publicity
- Company Tax reform – aka "Google Tax"
- Increased governmental environmental protection
- Intense competition
- Interruptions in supply chain
- Commodity price increases
- Economic conditions and trading volatility
- Food safety breaches
- Competition from Burger King Worldwide Inc, Domino's Inc, Yum! Brands Inc, Starbucks Corporation, Wendy's Company
- Increase in wage costs
- Trade union action and industrial disputes
- Increasing legal complexity and litigation
- Changes to accounting standards or changes to financial reporting requirements
- Extreme weather conditions, natural disasters, terrorism and social unrest

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Product life cycle

In 2014, McDonald's Corporation reported its weakest financial performance in years with global sales plunging 7% and profit falling by 15%.[38] In 2015 the Guardian reported that this trend could be the result of burger lovers falling *"out of love with the world's largest restaurant chain."*[39] This would suggest that McDonald's was in the post-maturity phase of the business life cycle. Falling sales have been attributed to an increase in gourmet burger chains such as Shake Shack[40] and Five Guys.[41] There are also changes in customer preferences with increasing demand for healthier food.



Product life cycle.

It is important that McDonald's identifies where the overall company and/or individual products lie in terms of the product life cycle. This will help frame renewal marketing strategies. At the post-maturity stage of the business life cycle, differentiating McDonald's from its key competitors will be instrumental in resolving falling sales trends. McDonald's was successful in doing this when it extended the availability of its popular breakfast menu with an "all-day breakfast" menu.[42] This, coupled with new value offerings,[43] has given the company an *"earnings boost"*[44] in early 2016 resulting in an increase in same-store sales of 5%.[45]

McDonald's also monitors the sales of individual items. Falling sales figures for individual items can be a signal to change or discontinue unpopular products. Food items that have been discontinued have included the McAfrika, McPizza, McSpaghetti, Arch Deluxe, McHot Dog, McLean Deluxe and super-sized portions.[46] This constant review of the company's product strategy ensures the long-term viability of the business.

2.8 Market Research

Market research is an important process of collecting information about customers' tastes and preferences. McDonald's uses both qualitative and quantitative research to ascertain the needs of its customers. The company uses a range of techniques which include interviews, focus groups, questionnaires and polls. The Australian Financial Review reported that in November 2005, McDonald's Australia launched "Project Discovery." The project utilised qualitative research which included two-hour, one-on-one interviews with 35 people, while the quantitative research involved telephone interviews with 2,602 people across Australia.[47] A key theme that emerged from this research was with regard to health. While nutrition labelling on packaging was in place since 2004, Project Discovery led to the inclusion of percentage of recommended daily intake figures.[48] Other changes made by the business as a result of the market research campaign included:

- The use of improved vegetable oil blends that are virtually free of trans fatty acids.[49]
- Salt reduction in dressings, sauces, bread and chicken.[50]
- The launch of seared chicken in salads and burgers.[51]

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The Australian Financial Review also stated that McDonald's keeps market research questions consistent in order to track changes in customer attitudes over time.[52] This strategy is important because it allows the company to stay relevant to its customers in order to maintain sales. Furthermore, in 2005, the customer service department received over 37,000 contacts from the public. These revealed that customers wanted more choice with healthier and lighter food options, better food labelling, as well as more transparency about what they were eating.[53] The company has used these results to inform product development and marketing strategies.

More recently, McDonald's USA encourages customer feedback via the completion of an online satisfaction survey on McDVoice.com.[54] This survey tool requires customers to enter specific data found on their receipt that will identify information such as the store number and the serving crew member. The survey also asks customers a series of questions using a five-point scale to indicate their level of satisfaction. The site allows customers to complete up to five surveys per month per restaurant. Such customer feedback highlights areas of weakness of the business that may be jeopardising sales. McDonald's CEO Steve Easterbrook stated that listening to customer feedback is what prompted moves to introduce an all-day breakfast menu as well as McPicks (value items). In 2015, both these products have contributed to an increase in global sales by 6.2%.[55] The McDonald's Australia website contains a disclaimer in its privacy policy that states that any information collected from the website can be used by the company to conduct market research and assist the development of the website.

2.9 Establishing Market Objectives

If marketing objectives are realistic, the marketing plan can be an effective tool in helping a business achieve its overall goals. McDonald's marketing aims to consolidate and increase market share, and may also focus on modernising the menu which, since 2007, has grown by 70%.[56] This has been linked to the slowing down of service.[57] Therefore, recent marketing objectives for the company may include:

- To increase customer engagement by modifying product range, provide greater choice and use products local to regional markets.
- Improve customer perceptions that the menu is unhealthy and highly processed by improving communicating of ingredients used and nutritional information.[59]

2.10 Identifying Target Markets

Target markets represent the potential customer base for a business. The fast-food industry in America alone is estimated to be worth over US$210 billion by 2018.[60] This can translate to significant sales for McDonald's USA which had an estimated market share of 21% in 2013,[61] representing approximately 3.6 million customers per day in the USA alone.[62] Globally, daily traffic to McDonald's is over 68 million people per day.[63] Therefore, identifying McDonald's target market is imperative in ensuring that its products and marketing campaigns appeal to the desired audience.



McDonald's USA hold approximately 21% market share.

McDonald's UK states that it aims to appeal to a wide audience including families and busy workers.[64] The way that products are advertised and promoted suggests that the company applies a market segmentation approach with a primary target market that may include parents with young children, young children, workers and teenagers. For example, on one hand McDonald's attempts to appeal to

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children with the Happy Meal and playground in most stores while campaigns such as "A Little Bit Fancy" and the introduction of table service[65] appeal to older demographics. In a world first, a NSW store in Warilla trialled the use of real crockery.[66] This trial led to 400 UK stores[67] offering a more upmarket dining experience. These attempts to draw a new and wider target market is also consistent with the company's desire to shift long-held perceptions of the fast-food giant.

With falling sales in the USA, McDonald's, Business Insider reported that in 2015 the company was set to close 700 underperforming restaurants across the United States[68]. This is the first time in the company's 40-year history that the number of McDonald's restaurants across the USA has contracted. This is prompting a shift in target markets with increased sights set on Europe and Asia. France and China are proving to be among the company's most successful current markets.[69] A report by Business Insider Australia stated that McDonald's is aiming to expand further into the Asian market with plans to add more that 1,500 new restaurants[70] in China, Hong Kong and South Korea by 2021. In recognising new target markets, McDonald's is able to ensure continued sales.

2.11 Developing Marketing Strategies

The marketing process involves a series of steps that help a business frame its strategies. Once the business has completed the situational analysis, market research, set the marketing objectives and identified target markets the next process involves setting marketing strategies. These are the action plans that will be used to achieve set objectives. *(Marketing strategies will be discussed in more detail later in this chapter.)*

2.12 Implementation, Monitoring And Controlling

Once a marketing plan has been devised it must be put into action. Elizabeth Friend from Euromonitor International suggests that the *Create Your Taste* platform along with mobile ordering and payment methods are part of a marketing plan designed to increase sales by appealing to modern customers.[71] It is essential that when a marketing plan is implemented, the company monitors actual progress. Despite the implementation of new products such as the *Create Your Taste* range, total system-wide sales continued to decline in 2015 to approximately US$82.7 billion from US$87.7 billion the previous year.[72] Further to monitoring progress, effective controlling involves developing measures to address short falls of the plan. The introduction of the "mymacca's" ordering app[73] may have been such a measure designed to increase sales.

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Marketing Strategies

How does McDonald's actually achieve its objectives?

2.13 Market Segmentation, Product/Service Differentiation and Positioning

The Informal Eating Out (IEO) industry contains approximately 8 million outlets and had global sales reaching US$1.2 trillion in 2014[74]. Despite only accounting for 0.5% of the total number of IEO outlets worldwide, McDonald's generated 7.2% of total industry sales.[75] This shows that McDonald's has been able to implement a range of strategies such as market segmentation, differentiation and positioning to attract and maintain a loyal customer base.

Market Segmentation

Market segmentation involves tailoring marketing initiatives for specific customer characteristics. Knowns as variables, target markets can differ based on demographics, geography, psychographics and behaviour. In doing this, a business is able to tailor its product, advertising and promotions to appeal to specific groups of customers.

- **Demographic**
  McDonald's also uses demographic variables to focus marketing initiatives to specific age groups. For example, Happy Meals contain a toy which appeals to young children, while the expansion of McCafé barista-made coffee, sweets and table service[102] appeal to older customers.
- **Psychographic**
  Psychographic segmentation requires a business to understand consumer behaviour. Pressure to improve diets and maintain a healthy lifestyle has influenced the development of McDonald's healthier options, which include grilled chicken, salads, water and fruit. Furthermore, in Australia, there has been a big focus on a healthy lifestyle and a diet free from processed food. McDonald's has responded to this lifestyle variable by making nutritional information and ingredient information[103] easily accessible to customers.
- **Geographic**
  As the marketing mix varies in different geographic locations, market segmentation by geography allows McDonald's to add or alter menu items to suit local tastes. Below is a list of some products that are specific to certain geographic locations.



Corn Pie in Thailand.



McDonald's in Thailand.

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Country	Food item
Australia	Aussie BBQ Angus[76]
Chile	Empanadas con Queso[77]
India	Maharaja Mac[78] Aloo wrap[79] McAloo Tikki[80] Masala Grill [81] McSpicy™ Paneer[82]
Germany	Spring Rolls
Japan	Teriyaki Mac Burger[83] Shrimp Fireo[84] Chocolate Fries[85]
Malyasia	Bubur Ayam[86]
New Zealand	Kiwiburger[87] Kiwi Angus Burger[88] Georgie Pie: Bacon 'N' Egg[89] Georgie Pie: Steak Mince 'N' Cheese [90]
Peru	Mexican Salad[91]
Spain	Gazpaco[92] Beer[93] CBO (Chicken, Bacon and Onion)[94]
Thailand	Fried Chicken Pieces[95] Corn Pie[96] Savoury Chicken or Pork Porridge [97]
United States	Bacon Clubhouse Burger[98] Artisan Grilled Chicken Sandwich[99] Premium Buttermilk Crispy Deluxe Sandwich[100] McRib[101]

Product/Service Differentiation

Globalisation has increased the quantity and variety of goods and services available to consumers. Consequently, in order to attract sales, businesses have had to change their product or service making them appear different to those provided by their competitors. The informal eating outlet market contains approximately 8 million restaurants, therefore the process of differentiation has been an important focus for McDonald's.

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Positioning

Positioning is the perception consumers have about a product, brand or business. Bad publicity which followed the 2004 documentary *Super Size Me* and the legal outcome of the "McLibel" trial in 2005 put McDonald's Corporation in the spotlight. The company was accused of selling food that was high in calories, sodium, fat and sugar[104] and the Super Sized portions attracted further negative perception with larger than large drinks containing a 42 ounce serve (just over 1.2 litres).[105] Since the film, McDonald's has phased out the Super Sized option[106] from its menu and has been responding to calls to provide consumers with healthier food options. Evidence that the company has been trying to re-position the brand can be seen in campaigns such as:

- "Eat Smart, Be Active" (2004)[107]
- "A Little Bit Fancy" (2015 Australia)[108]
- "Un-McDonald's" [109]

These campaigns show that McDonald's is trying to change public opinion and ensure its brand remains current and relevant to consumers.

2.14 Products – Goods and/or Services

The core product sold by McDonald's is food. The main benefit of buying food is to satisfy hunger. Globally, there are 8 million food outlets[110] that can satisfy an appetite. If products are not differentiated, customers may make consumer decisions based on convenience or price. It is important therefore that McDonald's designs its product to ensure potential customers buy its products over those offered by other quick-service eating establishments. A product can be value-added to by altering one or more of the following features:

- Quality
- Packaging
- Presentation
- Warranty
- Business and brand reputation

Two key product strategies that are employed by McDonald's include branding and packaging.

Branding

Branding refers to the name, colour or symbols used to represent a business. According to the book *Fast-food Nation,* more people are able to recognise the golden arches than the Christian cross. This shows the effectiveness of global campaigns to build brand awareness.

Packaging

Another product strategy utilised by McDonald's is the way it uses packaging. At McDonald's packaging does more than just protect the burgers; the packaging is used to reinforce information that the company want consumers to know. As can be seen in the packaging samples below, the golden arches are made visible at the bottom right hand side of each container. This promotes consistent brand design. McDonald's also uses packaging as a way to differentiate its products from competitors by highlighting attributes such as "Beef: Great Taste", "100% beef" or by including images of ingredients to make the burger appear fresh and unique.

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2.15 Price Including Pricing Methods

McDonald's stated aim is to focus marketing and promotional activities to deliver value to its customers.[111] With the IEO industry containing an estimated 8 million restaurants worldwide, it is essential that McDonald's finds the appropriate price consumers are will to pay for its products. Increased competition in the USA from outlets such as Burger King and Shake Shack have created two distinct target markets – one which seeks a simple and affordable menu and another more upmarket *"fast-casual"* dining experience.[112]

Loss Leaders

McDonald's has developed an approach that positions a range of items in terms of price and quality. To appeal to the value conscious customer, McDonald's introduced a dollar menu range in Australia. The *Loose Change Menu*[113] contains thirteen items priced from AU$1. These items use a loss leader pricing strategy to undercut competitors and attract customers who may purchase both a cheaper item (for example a 50 cent cone ice cream cone) and a more expensive item (like a coffee).

Price Points

McDonald's has also simultaneously used price points as a strategy to increase sales. In doing this the company has been able to offer its customers pricing flexibility by providing a *"value ladder"* whereby customers can select and modify menu items to accommodate *"varying levels of affordability."*[114] In addition to the *Loose Change Menu* and the standard menu, the *Create Your Taste* range allows the customers to build their burger selecting from around 30 ingredients, some of which attract additional charges. Creating a deluxe meal will cost more than the standard menu items but in offering three distinct price points, McDonald's is able to appeal to a wider pool of potential customers.



Look at what makes a Big Mac so unique.



These pricing strategies and multi-branding approach have implied a link between price and quality. In the UK for example, the premium made-to-order burgers were developed by top chefs to feature a thick beef patty made from 100% British and Irish beef in a brioche-style bun.[115] This burger will cost approximately £4.69 whereas a Big Mac would cost £2.69[116] (approximately AU$10 and AU$5.40 respectively). The higher prices reflect the quality of ingredients, the added time it takes to make a customised burger and the staff needed to provide table service for the *Create Your Taste* range.

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Price Bundling

This strategy is where businesses offer a package for a lower price than if the customer purchased each item separately. The McValue meals and Family Feed Value Boxes are examples of how McDonald's uses price bundling. For instance, a Big Mac Value Meal typically costs $10.50, according to Menulog.[117] This represents a 15% saving over purchasing each of the component items individually (Big Mac AU$6.30, medium fries AU$2.75, medium drink AU$3.30 – total AU$12.35).



A McValue meal.

2.16 Promotion

Promotion involves the activities that increase awareness and use of a business's goods and/or service. McDonald's engages in a range of promotional initiatives to attract new customers as well as ensuring the return of existing customers.

Advertising

As a multinational corporation, McDonald's has the resources to fund "above the line" adverts[118] which engage mass media to promote the brand.

McDonald's uses television to appeal to a wide audience, shifting tact to promote luxury to the masses in a marketing concept called *masstige*.[119] In 2009, McDonald's launched its *Mighty Angus and the Grand Angus* range in a TV ad campaign voiced by Australian actor, Michael Caton. The ad describes the new burgers as *"a big juicy slab of genuine Aussie Angus... loads of that fancy salad the onions, the purple ones ... it's Spanish..."* The ad campaign is estimated to have cost over AU$10 million and is being hailed as the most successful of the company's advertisements, bringing in an estimated weekly sales of over AU$2 million.[120]

The Siren Award is an annual Australian advertising award that recognises excellence and creativity in commercial radio advertising. In 2010, the writers of an advertisement for McDonald's – "A Little Bit Fancy" – won round four of the Siren Awards.[121] The advertisement depicted a quick conversation between a customer and a McDonald's crew member at the Drive-Thru.[122] With an audience of over 10 million people per week,[123] radio advertising in Australia has the potential to reach almost half of the country's population.

Due to the size of the company and its global recognition, McDonald's has the resources to be able to sponsor major world events. As an official sponsor of the Olympics and FIFA World Cup, McDonald's logo appears on official merchandise and promotional materials. This also enables McDonald's to achieve prime slots in television advertising during the events, reaching a global audience of up to 4 billion people.

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Relationship Marketing

Relationship marketing is the process of building relationships between the customer and the business. McCafé has loyalty cards that reward repeat customers with a free hot beverage after a certain number of purchases.[124] The purpose is to incentivise customers to frequent McCafé more often. More recently, McDonald's Australia has launched the "mymacca's" site[125] Signing up to the site gives customers access to:

- Exclusive offers
- A newsletter announcing great offers and deals
- "My ideas" – where customers can make suggestions to McDonald's
- Free unlimited WiFi
- An online offer wallet

This loyalty program encourages customers to give their feedback and in return they are rewarded with McDonald's offers and products. This approach to marketing has propelled the company into a more dynamic and interactive form of marketing. It is also an essential tool that allows the business to learn more about its customers.

Publicity

Publicity relates to newsworthy stories about a business and its products. McDonald's benefits from this form of promotion when news stories show the business as being proactive or when the article puts a new product in the spotlight. Some recent good news articles about the business include:

- McDonald's all-day breakfast a hit – shares hit record high.[126]
- New look McDonald's concept store opens in Hong Kong, featuring a huge salad and dessert bar. [127]
- McDonald's wants parents to *"feel good"* about its new McNugget recipe.[128]

McDonald's has been able to orchestrate publicity deliberately to its advantage. Well-known Los Angeles chef, Neal Fraser, collaborated with McDonald's to provide an *"elegant meal"* that was created entirely out of McDonald's food.[129] The chef claimed that the ingredients were not dissimilar to those he uses at his restaurant, Redbird, and that this publicity stunt was to change public perceptions of the company.[130] The publicity exercise also saw the story posted on social media via Instagram and lifestyle blogs such as "The Savvy Sistah" by Roshonda Payne, who was quoted as saying: *"It goes to show you that McDonald's is [real] food."* [131]



Destiny's Child at World Children's Day at Ronald McDonald House, Los Angeles 2005.



McDonald's sponsorship of 2002 Winter Olympics, Utah.

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Sponsorship of global events also presents opportunities for publicity. McDonald's is a proud sponsor of the Olympics, FIFA World Cup and events such as World Children's Day. McDonald's Australia also proudly supports local initiatives such as Little Athletics and Basketball Victoria.[132] Publicity at such high profile events helps to promote brand recognition.

However, not all publicity is good. McDonald's has been subject to bad press from news items stemming from *Super Size Me*,[133] the "McLibel" case,[134] the China meat scandal,[135] and recent claims that McDonald's has been underpaying staff.[136] McDonald's has proven to be a robust business capable of overcoming challenges and emerging triumphant.

Sales Promotions

Sales promotions are a marketing strategy which attempt to increase sales from new and/or existing customers. The popular annual Monopoly promotion rewards customers when they buy promotional items with two game stamps.[137] These stamps correspond to either an instant prize or relate to a space on the Monopoly board. If stamps for all of the properties of a single colour are collected, major prizes can be won, such as cash, cars, holidays, TVs and more.[138] The limited time creates hype and the nature of the game is designed to get customers back into the store for more pieces. In Australia, during the 2013 promotion, it was estimated that there were over 15 million instant win prizes and over 135 million food prizes[139] – enough to perpetuate the feeling that the customer is winning[140] so that they come back for more in an attempt to win a major prize.



McDonald's Monopoly promotion.

2.17 Place/Distribution

Distribution Channels

Distribution channels describe the way that products get from the business to the consumer. McDonald's sources fresh inputs from local suppliers and then uses these in the transformation process to produce its output. In doing this, McDonald's employs a producer – retailer – customer distribution channel.

Channel Choice

With over 36,000 restaurants worldwide, McDonald's uses selective distribution channels.

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2.18 Global Marketing

As a global business operating in over 100 countries[141] it is imperative that McDonald's adjusts its marketing plan to meet the needs of the foreign market.

Global Branding

In 2015, Forbes recognised McDonald's as the world's 9th most valuable brand.[142] It was also reported by SW Londoner that 88% of people surveyed could identify the golden arches logo, compared with only 54% of people who were able to name the Christian cross.[143] This shows the tremendous success of McDonald's global branding strategies. Despite making minor modifications to suit local markets, the company provides a relatively similar experience which makes its food, service and brand internationally recognised. Since 1976 McDonald's has been an official sponsor of the Olympic Games.[144] Its ability to affiliate with such major world events gives McDonald's a tremendous platform to further advance this unified worldwide image.



McDonald's famous golden arches.

Standardisation

Standardisation is the process where a product is designed to satisfy the needs of the majority of customers across all countries where McDonald's operate. It is estimated that McDonald's sell 2.5million Big Macs a day globally.[145] McDonald's is able to leverage the benefits of economies of scale with the acquisition of inputs as well as its marketing. In providing standard products McDonald's is able to ensure a relative degree of consistency across a range of markets.

Customisation

While McDonald's attempts to provide relatively consistent product across all markets, it also acknowledges unique cultural tastes. While McDonald's provides a standard name, logo, operation processes and most menu items, there are local modifications. In customising certain products, McDonald's is in a better position to meet the needs of its customers in a global market. In section 4a Market Segmentation, a range of products that are specific to countries are examined. McDonald's offers customisation, for example the inclusion of beer on its menu in European countries such as France, Germany and Portugal.[146] Additionally, where the national cuisine is distinctly different, flavour modifications are made; for example the Aloo wrap in India[147] or the Teriyaki Mac Burger in Japan.[148]

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